

If you got hit with an underpayment penalty — ask the IRS to refund it.

The First-Time Abatement (FTA) program. The letter most CPAs charge \$200+ to write. Yours, ready to send.

What is First-Time Penalty Abatement?

FTA is an IRS administrative waiver that **removes most penalties** if you have a clean compliance record for the prior 3 years. It applies to failure-to-file, failure-to-pay, and (most importantly for self-employed people) **the estimated tax underpayment penalty**. The IRS has been administering this since 2001. Most taxpayers who qualify never ask for it — because they don't know it exists.

Do you qualify?

You qualify for FTA if **ALL three** of these are true:

- You filed all required returns (or filed an extension) for the past 3 years.
- You paid (or arranged to pay) any tax due for those 3 years.
- You had **no penalties** in those 3 years — or any penalties you did have were removed under FTA itself.

Important: FTA only applies to ONE tax period at a time. If the IRS hit you with penalties for both Q2 and Q3 of the same year, FTA waives them both. But if you got penalties in 2024 AND 2025, FTA only applies to one of those years — pick the year with the larger penalty.

How to use this template

1. **Get the IRS notice in front of you.** The letter they sent you assessing the penalty.
2. **Fill in the bracketed fields** on page 2 with your information from the notice.
3. **Sign and date it.** Mail it to the IRS address on the original penalty notice (usually the IRS office that issued it). Keep a copy.
4. **Expect a response in 2–4 months.** Most FTA requests are approved when the qualification rules are met. If approved, the IRS removes the penalty and refunds any amount you already paid.

Faster alternative: You can also request FTA *by phone* by calling the IRS at **1-800-829-1040** (individuals). Many agents can approve FTA on the call. But the written letter is the better paper trail — and required if your case is complex or you've been denied verbally.

Penalty Abatement Request

Replace every **[BRACKETED ITEM]** with your information. Print, sign, and mail to the IRS address on your original penalty notice.

[YOUR FULL NAME]

[YOUR STREET ADDRESS]

[CITY, STATE, ZIP]

[PHONE]

[TODAY'S DATE]

Internal Revenue Service

[IRS ADDRESS FROM YOUR PENALTY NOTICE]

Re: Request for First-Time Penalty Abatement

Taxpayer: **[YOUR NAME]**

SSN/EIN: **[YOUR SSN OR EIN]**

Tax form: **[FORM NUMBER, e.g., 1040]**

Tax period: **[TAX YEAR, e.g., December 31, 2025]**

Notice / letter number: **[NOTICE NUMBER FROM IRS LETTER]**

To Whom It May Concern:

I am writing to request abatement of the penalty assessed in the notice referenced above, in the amount of **[PENALTY AMOUNT]**, under the IRS First-Time Abatement (FTA) administrative waiver as described in Internal Revenue Manual section 20.1.1.3.6.1.

I qualify for First-Time Abatement because all three of the following statements are true:

1. I have filed all required tax returns (or filed valid extensions) for the three tax years preceding the period for which I am requesting abatement.
2. I have paid, or arranged to pay through an installment agreement, all tax due for those three preceding tax years.
3. I have not been assessed any penalties (or any prior penalties were themselves abated) during those three preceding tax years.

Based on these facts, I respectfully request that the IRS waive the penalty assessed for the **[TAX YEAR]** tax period and refund any amount I have already paid toward this penalty.

If you require additional information or documentation, please contact me at the phone number above.
Thank you for your time and consideration.

Sincerely,

[YOUR SIGNATURE]

[YOUR PRINTED NAME]

Tips before mailing: Send via Certified Mail with Return Receipt — costs ~\$8, gives you proof of delivery and the date. Keep a complete copy of the letter and the IRS notice. If you don't hear back in 90 days, call 1-800-829-1040 with your notice number and ask for status.

Educational tool only — not legal or tax advice. The FTA program rules can change; verify current qualification rules at [irs.gov](https://www.irs.gov) before sending. For complex situations or large penalty amounts, consult a CPA or enrolled agent.

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